

General Motors' 1963 earnings—the largest for any corporation in history—can be maintained with difficulty and exceeded only modestly at best. The price earnings ratio of Xerox, on the other hand, is quite representative of speculative enthusiasm fastened upon a company of great achievement and perhaps still greater promise.

The implicit or expected growth rate of 5.1% for the DJIA compares with an actual annual increase of 3.4% (compounded) between 1951–1953 and 1961–1963.

TABLE 11-4 Annual Earnings Multipliers Based on Expected Growth Rates,
Based on a Simplified Formula

Expected growth rate	0.0%	2.5%	5.0%	7.2%	10.0%	14.3%	20.0%
Growth in 10 years	0.0	28.0%	62.0%	100.0%	139.0%	260.0%	319.0%
Multiplier of current earnings	8.5	13.5	18.5	22.9	28.5	37.1	48.5

TABLE 11-5 Implicit or Expected Growth Rates, December 1963 and December 1969

Stock	P/E Ratio, 1963	Projected ^a Growth Rate, 1963	Earnings Per Share, 1963	Actual Annual Growth, 1963–1969	P/E Ratio, 1969	Projected ^b Growth Rate, 1969
American Tel. & Tel.	23.0 ×	7.3%	3.03	4.00	12.2 ×	1.8%
General Electric	29.0	10.3	3.00	3.79 ^c	20.4	6.0
General Motors	14.1	2.8	5.55	5.95	11.6	1.6
IBM	38.5	15.0	3.48	8.21	44.4	17.9
International Harvester	13.2	2.4	2.29	2.30	10.8	1.1
Xerox	25.0	32.4	.38	2.08	50.8	21.2
DJIA	18.6	5.1	41.11	57.02	14.0	2.8

^aBased on formula on p. 208.

^bAverage of 1958 and 1959, since 1960 earnings were reduced by strike.

^cAdjusted for stock splits.

We should have added a caution somewhat as follows: The valuations of expected high-growth stocks are necessarily on the low side, if we were to assume these growth rates will actually be realized. In fact, according to the arithmetic, if a company could be assumed to grow at a rate of 8% or more *indefinitely* in the future its value would be infinite, and no price would be too high to pay for the shares. What the valuer actually does in these cases is to introduce a *margin of safety* into his calculations—somewhat as an engineer does in his specifications for a structure. On this basis the purchases would realize his assigned objective (in 1963, a future